



कर्मचारी भविष्य निधि संगठन
(श्रम एवं रोजगार मंत्रालय भारत सरकार)

Employees' Provident Fund Organisation
(Ministry of Labour & Employment, Govt. Of India)

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To

23 SEP 2015

The all Additional CPFCs
RPFCs In-Charge of RO/SRO, EPF

Subject: - FAQ on investment in Exchange Traded Fund (ETF).

Sir,

The Ministry of labour & Employment vide notification no 1433 (E) dated 29th May, 2015 has notified a new Investment Pattern 2015 for investment by Exempted Establishment (Annexure 'A'). Category (iv) of said pattern prescribes minimum 05% and upto 15% investment of total corpus in equity and related investment.

The CBT has decided to invest in Exchange Traded Fund (ETFs) in the category of equity and related investments. Since, ETF is a new category of investment, a detailed FAQ has been prepared as a handy source of information and is enclosed with letter.

Yours faithfully,

Encl: - As above.

(Abhay Ranjan)
Regional P.F. Commissioner-I (IMC)

Copy to;

1. RC (NDC) for uploading the same at our website.

(Ajay Kumar)
Regional P.F. Commissioner-II (IMC)

FAQ on Exchange Traded Fund

Q1. What is an Exchange Traded Fund?

Ans. An exchange-traded fund (ETF) is an investment fund traded on stock exchanges. An ETF may hold assets such as stocks, commodities, or bonds, and trades close to its net asset value over the course of the trading day. Most ETFs track an index.

Q2. What is NIFTY based ETF?

Ans. NIFTY based ETF replicates NIFTY index of NSE. The investments are made in the same stock and in the same proportions as in NIFTY index.

Q3. What is SENSEX based ETF?

Ans. SENSEX based ETF replicates SENSEX index of BSE. The investments are made in the same stock and in the same proportions as in SENSEX index.

Q4. Who decides as to which shares are to be bought for NIFTY/Sensex ETF?

Ans. Shares are bought and sold only in the shares which are part of NIFTY or SENSEX. The fund manager has no role in deciding which shares are to be bought in NIFTY / SENSEX ETF. The constituents of the index are decided and changed periodically by the exchange / index manufacturer.

Q5. Who decides as to what proportion of any shares is to be bought in NIFTY / SENSEX ETF?

Ans. Shares are bought and sold in the same pre – defined proportion of the index according to their respective weightage. The fund manager has no role in deciding the inter se proportion of shares to be bought in NIFTY / SENSEX ETF. The constituents of the index and their proportion are decided and changed periodically by the exchange / index manufacturer.

Q6. Which mutual fund has been selected as ETF manufacturer for ETF?

Ans. As of now only SBI MF has been nominated as ETF manufacturer for ETF.

Q7. Do we have any external Fund Manager for investing in ETF?

Ans. There is no external Portfolio manager for investing in ETF. The investment is being done in-house

Q8. What decisions are taken in-house for investment in ETF?

Ans. Investment is being done as per the approved Standard Operating Procedure (SOP).

Q9. What are the benefits of ETFs?

Ans. The key advantages of investing in ETFs are the following:

Transparency: Investment in ETF is very transparent. The indicative NAVs are available real time to an investor and so is the basket of securities that consists the portfolio. This will help investor to understand what he is investing into and at what price, thereby making the investment decision an informed one

Low cost: Both traditional funds and ETFs charge fund management fee and operating expenses to the Scheme. However, due to the very nature of ETFs, both the expenses are streamlined and much lower as compared to open ended mutual funds charges. ETFs protect the interest of the long term investor from constant churning of portfolio.

Portfolio Diversification: ETFs provide exposure to the market through a basket of securities which results in portfolio diversification and better risk management. The index is representative of sectors thereby gives a wide choice of diversification to the investor.

Convenience of Investing: ETFs provides investor the convenience of trading during market hours and makes it very convenient to buy and sell at any point of time between 9 am and 3.30 pm (current trading hours). Unlike traditional mutual funds, one need not wait till the closing of market hours to know the price at which the trade is executed. Thus, Investors invests in real-time prices as opposed to end of day prices.

Q10. What are risks of ETFs?

Ans. The following could be risks of investing in ETFs:

Market risk: Like any other market related investment product, ETFs also carry the market risk. It is however mitigated by investing across markets and sectors. However as index based ETF represents economy over a long term period there is no reported risk. In the last 15 years NIFTY has given CAGR return of 14%.

Tracking Error: Index ETFs tracks the underlying index. The returns generated by ETFs can marginally be more or less than the index it tracks. This is due to the fact that the ETFs will maintain some cash in the portfolio unlike the index.

Q11. How does the in-kind creation / redemption mechanism work in ETFs?

Ans. ETFs can either be purchased on the Exchange or directly with the Fund. The Fund creates / redeems units only in predefined lot sizes in exchange for a predefined underlying portfolio basket. Once the underlying portfolio basket is deposited with the Fund together with a cash component, the investor is allotted the units. This is in-kind creation/redemption of units, is unique to ETFs. Alternatively, investors can follow the "Cash Subscription" route in which they can pay cash directly to the Fund for purchasing the underlying portfolio.

Q12. How do ETFs derive their liquidity?

Ans. ETFs derive their liquidity first from trading of the units in the Secondary Market and second through the in-kind creation / redemption process with the Fund. Due to the unique in-kind creation / redemption process of ETFs, the liquidity of an ETF is actually the liquidity in the underlying shares.

Q13. What happens to dividends?

Ans. Dividends received by the Scheme will be reinvested in the scheme. However, the Fund may also decide to distribute dividends to the investors.

Q14. What happens if constituents in the underlying index change?

Ans. Constituents of an Index are changed as and when Securities in the Index do not match specific criteria laid down by the Index Service Provider or a better candidate is available to replace a constituent. The Index Service Provider usually makes announcements of change well in advance. Once Securities in the underlying index are changed, the Fund would change the Securities in its underlying portfolio by selling the Securities that are being removed from the Index and including those that are included in the Index. This will in no way affect the units being held by an investor, as the units will continue to track the index. The only effect may be on the tracking error of the scheme.

Q15. For whom are ETFs suitable?

Ans. The major players internationally in this market have historically been Large Institutional players seeking to Index core holdings or pursue more aggressive market timing and sector rotation strategies. However, since Smaller Institutions and Retail Investors can trade in small lots, they can invest in essentially the same terms as Large Investors. The core strategy for different kinds of investors for investing in ETFs can be as under:-

- **For Retail or Wholesale Investors** with a long-term horizon, it allows diversification of portfolio with one single investment. It insulates them from short term trading activity of other investors in the Fund as ETFs have a unique in-kind creation / redemption mechanism. Lower costs of ETFs enhance net returns in the long term.
- **For FIIs, Institutions and Mutual Funds**, it allows easy Asset Allocation and Hedging
- **For Arbitrageurs**, it provides ease with low Impact Cost to carry out arbitrage between the Cash and the Futures market.
- **For investors with a shorter term horizon**, ETFs provides access to liquidity due to the ability to trade during the day and at values near to NAV

Q16. How are ETFs different from Mutual funds

Ans. ETFs have many advantages over traditional mutual funds. The key differences between ETFs and Mutual Funds are the following:

Feature	ETFs	Mutual Fund
Liquidity	Can be traded on the exchange during trading hours and hence making them very liquid.	Purchase or Redemption has to be lodged with the fund house which is processed at the end of the day.
NAV or Price	The price is available live and one knows the price at which one is buying/ selling	The NAV at the end of the day is applicable and hence not known at the time of execution of the transaction.
Portfolio Transparency	The portfolio is disclosed daily thereby making it very transparent.	The portfolio is disclosed on a periodic basis as per the regulatory requirement.
Impact of large clients	Purchase or sale of units on the exchange will have no impact on the NAV of the ETF	Large purchase or redemptions impacts the NAV of the fund.
Operating expenses	Lower due to the very nature of the product	Relatively higher
Intraday Liquidity	Possible	Not Possible
Arbitrage opportunity	Provides arbitrage opportunities	Does not provide any such opportunities
Margin Money	Can be bought and sold on margin money thereby allowing investors to take a larger exposure	No such facility is available.

Q17. What is the decision of EPFO with regard to ETF?

Ans. It has been decided to invest 5% of yearly allocation to ETF during the current financial year. This will translate into approximately Rs 5,000/- crores. EPFO will be investing in Nifty, Sensex and CPSE ETFs.

Q18. Who will be doing this investment for EPFO?

Ans. EPFO will be investing in NIFTY and SENSEX ETFs of SBI Mutual Fund and in CPSE ETF. The investments would be done by the mutual fund on behalf of the EPFO. Instructions for investment would be as per the approved guidelines.